

Understanding Limited Partnerships in Kenya

A Practical Guide to Formation, Registration, Governance and Compliance

Prepared for the LexReg Portal

A Limited Partnership (LP) is a partnership structure recognised under the Partnerships Act, 2012. It must have at least one General Partner with unlimited liability and at least one registered Limited Partner whose liability is limited, subject to the Act, to the amount of that partner's capital contribution.

This structure is fundamentally different from a Limited Liability Partnership (LLP). An LLP is a body corporate with separate legal personality. A Limited Partnership is governed under Part III of the Partnerships Act and is organised around the different roles of General Partners and Limited Partners.

For LexReg, that distinction must drive the onboarding questionnaire, governance rules, permissions and compliance engine.

1. What Is a Limited Partnership?

One or More General Partners
↓
One or More Registered Limited Partners
↓
Limited Partnership Agreement
↓
Business / Investment Activity
↓
Governance + Compliance

The General Partner manages the partnership business and bears unlimited liability for its debts and obligations. The Limited Partner contributes capital and receives the statutory protection of limited liability, but must remain within the role permitted by law.

2. The Two Classes of Partner

A. General Partner

A Limited Partnership must have at least one General Partner. Under the Partnerships Act, a General Partner is liable for all debts and obligations of the partnership.

LexReg should capture:

- identity or corporate details;
- address and contact details;
- KRA PIN and other relevant tax information;
- date of appointment/admission;
- management authority;
- banking/signing powers;

- capital contribution, if any;
- decision rights; and
- date and reason for cessation.

B. Limited Partner

A Limited Partner becomes a limited partner when registered as such. The Act provides that the Limited Partner's liability for partnership debts or obligations is limited to the amount contributed to the partnership at the time of joining, subject to the statutory rules governing the Limited Partner's conduct.

- identity or corporate details;
- address and contact information;
- KRA PIN or relevant tax information;
- capital contribution;
- date of registration as Limited Partner;
- economic rights;
- permitted approval/consultation rights; and
- date and manner of cessation.

3. Why the General/Limited Partner Distinction Matters

The distinction is not merely descriptive. It determines liability, management authority and the permissible role of each participant.

GENERAL PARTNER
↓
Manages Business + Unlimited Liability
↓
LIMITED PARTNER
↓
Capital / Economic Participation + Restricted Management Role

LexReg should therefore use different permissions and workflows for the two classes of partner.

4. Restriction on Management by Limited Partners

The Partnerships Act provides that a Limited Partner shall not take part in the management of the partnership business. This is one of the most important rules to encode in the LexReg governance engine.

The Act nevertheless permits specified activities without treating them as prohibited management. These include, among others, participating in decisions about variation of the partnership agreement, certain investments, changes in the general nature of the business, acquisition or disposal of a business, admission or cessation of partners, termination and winding up, approving accounts, addressing conflicts of interest, discussing business prospects, and consulting or advising General Partners.

LexReg should distinguish between:

- management actions reserved to General Partners;

- reserved matters on which Limited Partners may approve or participate;
- information/consultation rights; and
- economic rights.

A Limited Partner should not accidentally be given the same operational permissions as a General Partner simply because both appear in the Partner Register.

5. Capital Contributions

The capital contribution of each Limited Partner is a core legal and registration fact. Under the Act, a capital contribution may consist of money or property with an agreed capital value.

LexReg should capture:

- amount/value of contribution;
- form of contribution - cash or property;
- date contributed;
- agreed valuation of non-cash property;
- supporting evidence;
- changes to the contribution; and
- effective date of each change.

Because changes to a Limited Partner's relevant capital contribution are registrable events, the system should preserve a historical contribution ledger.

6. The Limited Partnership Agreement

The Partnership Agreement should govern the commercial and internal relationship so far as the law permits. For LexReg, it should operate as structured governance data rather than merely as an uploaded PDF.

- name and objects/business of the partnership;
- General and Limited Partners;
- capital commitments and contributions;
- profit and loss allocations;
- distributions;
- management powers of General Partners;
- reserved matters;
- Limited Partner consultation/approval rights;
- accounts and reporting;
- banking;
- admission and cessation of partners;
- transfer/assignment of interests;
- conflicts of interest;
- duration;
- events of dissolution;

- winding up; and
- dispute resolution.

Where a statutory rule cannot lawfully be varied by agreement, the LexReg rules engine should give the statutory rule priority.

7. Name of the Limited Partnership

A Limited Partnership must have a registered name. The Partnerships Act restricts carrying on the business of a Limited Partnership under a name that is not registered as a Limited Partnership or that does not include the required Limited Partnership designation.

Current BRS guidance states that applicants may provide at least three and up to five proposed names, from which an available name may be reserved.

8. Registered Office

A Limited Partnership must establish and maintain a registered office to which communications may be delivered or addressed.

LexReg should capture:

- physical address;
- postal address;
- telephone number;
- email address;
- effective date; and
- history of address changes.

The name and address of the registered office must also appear on partnership documents as required by the Act.

9. Registration Information

Section 68 of the Partnerships Act requires the registration statement to specify:

- the proposed Limited Partnership name;
- names and addresses of proposed General Partners;
- the name of each proposed Limited Partner;
- the amount of capital contribution made by each Limited Partner;
- location and address of the proposed registered office; and
- where an existing General Partnership is being registered as a Limited Partnership, its date of formation.

The statutory statement is signed by the proposed General Partner or, where there is more than one, all proposed General Partners.

10. Additional BRS Onboarding Information

Current BRS guidance identifies further practical information for each partner, including:

- full name;

- national identity card number or passport/foreign identification information as applicable;
- telephone number;
- email address;
- postal address;
- residential address;
- occupation;
- passport photograph;
- whether the person is a General or Limited Partner; and
- capital contribution.

BRS also asks applicants to indicate the intended duration of the partnership.

11. Suggested Registration Workflow

Create / Identify Partner Profiles
↓
Choose LP Name
↓
Registered Office
↓
Classify Each Partner
↓
Capture Limited Partner Capital
↓
Draft / Upload LP Agreement
↓
Duration + Business Information
↓
Review & Confirm
↓
BRS Online Registration
↓
Certificate of Registration
↓
Create LexReg LP Workspace

Current BRS guidance confirms that registration is available online through BRS/eCitizen and that a Certificate of Registration is issued upon successful registration.

12. Core Documents for LexReg

The document request should be role-sensitive and proportionate.

- identity document for each individual partner;

- KRA PIN or relevant tax document for each partner;
- passport photograph where required by the BRS process;
- for a corporate partner, incorporation and current verification documents;
- Limited Partnership Agreement;
- evidence/description of capital contributions where appropriate;
- registered-office information; and
- Certificate of Registration once issued.

Additional documents should be requested only when triggered by partner type, foreign status, contribution type, business activity or another legal requirement.

13. Corporate General or Limited Partners

Where a company or other legal entity participates as a partner, LexReg should link its Corporate Entity Profile.

For a Kenyan company, the initial verification set may ordinarily begin with its Certificate of Incorporation, KRA PIN and current official search/CR12, with further authority or constitutional documents requested when necessary.

LexReg should separately capture the natural person authorised to act for the corporate partner.

14. OCR and Reuse of Profiles

Upload / Retrieve Partner Documents
↓
OCR / Structured Extraction
↓
Review & Verify
↓
Assign GP or LP Role
↓
Capture LP-Specific Data
↓
Registration + Workspace

Where a partner already has a verified LexReg profile, the system should reuse stable identity data while separately capturing role-specific information such as partner class, capital contribution and authority.

15. Decision-Making

The Partnerships Act distinguishes ordinary matters from other matters in the affairs of a Limited Partnership. Ordinary matters are determined by the General Partner or, if there is more than one, by a majority of General Partners. Other matters are determined by the General Partner or all General Partners acting together, subject to the Act and the Partnership Agreement.

LexReg should therefore allow the agreement and statutory rules to generate a decision matrix identifying:

- decision category;

- who may initiate it;
- required General Partner approval;
- whether Limited Partner approval/participation is permitted or required;
- threshold;
- conflict rules; and
- supporting resolution/documentation.

16. Permitted Limited Partner Activities

The Fourth Schedule to the Partnerships Act identifies activities a Limited Partner may undertake without those activities, by themselves, constituting management. LexReg should map these permitted activities into the governance workflow.

- variation of the Partnership Agreement;
- approval or veto of a class of investment;
- change in the general nature of the business;
- disposal or acquisition of a business;
- admission or cessation of a partner;
- ending or winding up the partnership;
- enforcement of rights that do not amount to management;
- approval of accounts;
- certain contractual engagements not involving management;
- participation concerning conflicts of interest; and
- consultation or advice to General Partners.

17. Admission of a New Limited Partner

A proposed Limited Partner becomes a Limited Partner when registered. The Registrar must be notified of the proposed Limited Partner and the relevant capital contribution.

Proposed Limited Partner
↓
Identity / Due Diligence
↓
General Partner Approval
↓
Contribution + Agreement Terms
↓
Registrar Notice
↓
Registration
↓
Activate LP Profile

LexReg should not activate the person's status as a registered Limited Partner before the effective registration event is recorded.

18. Changes in Partners and Contributions

The Fifth Schedule to the Partnerships Act creates registration requirements for specified changes. Relevant events include a person becoming or ceasing to be a General Partner, death or dissolution of certain partners, changes of partner names or General Partner addresses, and changes in a Limited Partner's relevant capital contribution.

The Act generally requires notice of a relevant event to be lodged within 28 days.

LexReg should therefore generate a statutory filing task whenever a tracked event is triggered.

19. Cessation of a Limited Partner

A person ceases to be a Limited Partner if deregistered as such, on death, or on dissolution of the partnership. Other cessation events require the appropriate notice to the Registrar.

The system should preserve the partner's historical role, contribution and effective cessation date.

20. Transfer or Assignment of Partnership Interests

Transfers and substitutions should be handled in accordance with the Partnership Agreement and the Partnerships Act. The Act provides circumstances in which an assignee may become a partner in place of an existing partner, including where the General Partners agree or the substitution is made in accordance with the Partnership Agreement.

LexReg should distinguish economic assignment from actual admission/registration as a partner.

21. Financial Governance

- capital contribution ledger;
- General Partner contributions;
- Limited Partner contributions;
- partner loans;
- distributions;
- profit/loss allocations;
- bank mandates;
- books of account;
- financial statements;
- accounts approval;
- asset register; and
- tax records.

Where the LP is used for investment activities, the system should also support investment approvals and reporting rights established by the Partnership Agreement.

22. Tax and Operational Compliance

The LP's tax and regulatory obligations depend on its business, partners and activities. LexReg should generate obligations using current tax and operational rules rather than treating the LP as though it were an LLP or company.

- tax registrations and filings;
- county permits;
- sector-specific licences;
- employment compliance;
- data protection;
- property and lease obligations;
- insurance;
- contracts; and
- other activity-specific requirements.

23. Employees

If the LP employs staff, LexReg should activate the Employment Compliance Module. Employment obligations arise from the operation of the business and are distinct from the partners' internal relationship.

24. Changes of Name and Registered Particulars

The Partnerships Act provides for registration of changes to the LP's name and other registered particulars. LexReg should treat each change as an event with an effective date, supporting approval and Registrar filing.

Existing Particular
↓
Proposed Change
↓
Partner / GP Approval
↓
Registrar Notice
↓
Registration of Change
↓
Preserve Historical Record

25. Partnership Documents

The Partnerships Act requires the LP's name and registered-office address to be stated on partnership documents. LexReg-generated documents should therefore automatically populate the correct registered particulars.

26. Winding Up

Unless the Court orders otherwise, winding up of a Limited Partnership is conducted by a General Partner.

The closure workflow should address:

- event causing dissolution;
- General Partner responsibility for winding up;
- assets and receivables;
- creditors and liabilities;
- employees;
- contracts;
- tax obligations;
- licences;
- return/distribution of capital and surplus according to law and agreement;
- Registrar filings; and
- record retention.

27. Cancellation of Registration

The Fifth Schedule provides a statutory process for cancellation of registration. Among other requirements, the partners must agree as prescribed and the Registrar publishes a warning notice allowing persons to show cause.

A particularly important consequence is that, where the LP has not already been dissolved, cancellation of its registration causes it to become a General Partnership and the General and Limited Partners become partners in that General Partnership.

LexReg should therefore display a prominent legal consequence warning before a cancellation workflow is initiated.

28. Limited Partnership vs Limited Liability Partnership

These structures should be separate LexReg entity types.

- LP: at least one General Partner with unlimited liability and at least one registered Limited Partner with limited liability.
- LLP: separate body corporate with legal personality distinct from its partners.
- LP: Limited Partners are restricted from management, subject to statutory permitted activities.
- LLP: partners' governance is governed under the LLP framework.
- LP: governed principally by Part III of the Partnerships Act.
- LLP: governed by the Limited Liability Partnership Act.

The portal should avoid using 'LP' and 'LLP' interchangeably.

29. How LexReg Can Help

Formation & Registration

- partner onboarding;
- GP/LP classification;

- corporate-partner linking;
- capital contribution capture;
- LP Agreement builder/upload;
- registered-office capture;
- BRS registration checklist; and
- Certificate storage.

Governance

- General Partner Register;
- Limited Partner Register;
- capital contribution ledger;
- reserved-matters matrix;
- permitted Limited Partner activity controls;
- decision/resolution records;
- authority matrix; and
- Partnership Agreement rule extraction.

Compliance

- 28-day change-event alerts;
- partner admission/cessation workflows;
- capital contribution changes;
- name/address changes;
- tax and licence calendar;
- employment and data-protection modules; and
- winding-up/cancellation workflow.

Legal & Governance Review

- Limited Partner exercising impermissible management functions;
- unregistered partner changes;
- outdated contribution records;
- missing Partnership Agreement provisions;
- inconsistent registered-office information;
- undocumented GP authority;
- late statutory change notices;
- tax/licensing gaps; and
- winding-up or continuity risks.

30. Suggested LexReg Data Architecture

Individual / Corporate Profiles
↓
Limited Partnership Profile
↓
General Partner Register
↓
Limited Partner Register
↓
Capital Contribution Ledger
↓
Agreement + Decision Rules
↓
Operational Compliance
↓
Legal & Governance Audit

This architecture allows the same person or company to participate in several entities while preserving the specific capacity in which that person participates in each Limited Partnership.

31. The Key Principle

The defining feature of a Limited Partnership is the deliberate separation between management responsibility and limited-investor participation.

General Partner manages and bears unlimited liability
↓
Limited Partner contributes capital
↓
Limited Partner remains within permitted role
↓
Agreement structures economic and governance rights
↓
Registration preserves legal status
↓
Compliance tracks changes throughout the lifecycle

For LexReg, the most important design requirement is therefore role-based logic: the portal must know not only who the partners are, but which are General Partners, which are Limited Partners, what each Limited Partner has contributed, and what each class of partner is legally permitted to do.

Important Note

This guide provides general information about Limited Partnerships in Kenya. It does not constitute legal, tax, investment or financial advice. The consequences of partner conduct, capital changes, transfers, liability, tax

treatment and winding up may depend on the particular facts. Current BRS procedures, fees and regulatory requirements should be verified when action is taken.

Key Legal and Regulatory References

- Partnerships Act, 2012 - Kenya Law: <https://new.kenyalaw.org/akn/ke/act/2012/16>
- Business Registration Service - Registration of Limited Partnerships Guide:
<https://brs.go.ke/wp-content/uploads/2024/01/LP-Registration.pdf>
- Business Registration Service - Entities Registered: <https://brs.go.ke/entities-registered/>
- Business Registration Service - Partnerships Act:
<https://brs.go.ke/download/partnerships-act-no-16-of-2012/>
- BRS Version 2 / eCitizen: <https://brsv2.ecitizen.go.ke/>